TOPIC 1 · THE GLOBAL ECONOMY

ABC News business live blog
Thursday 12 November 2026

Hot US inflation puts a Fed rate hike on the table

> US consumer prices rose faster than expected in October, and financial markets now fully expect the Federal Reserve to raise interest rates in December.

WHAT HAPPENED

- US **CPI rose 0.4%** in October (month on month), above the 0.3% expected.
- It is the **third month in a row** at 0.4% or higher; September was 0.6%.
- Markets now **fully price a Fed rate hike** at its December meeting.
- The US 10-year bond yield rose to about **5%**, the US dollar strengthened and Wall Street fell (S&P 500 −0.4%).
- The **Australian dollar** dipped overnight, then recovered to 68.78 US cents during Wednesday's trading.

+0.4%
US CPI, October (m/m); 0.3% expected

0.6%
US CPI, September (m/m)

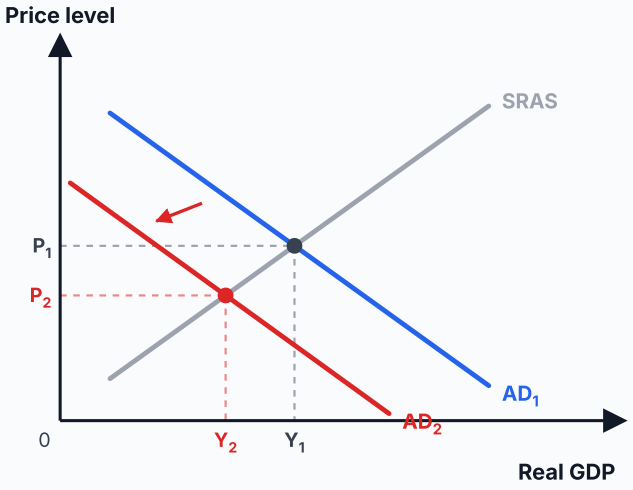
~5%
US 10-year bond yield

68.78 US¢
AUD, Wednesday afternoon

CPI: Consumer Price Index – measures changes in the prices of a basket of household goods and services.
Interest rate differential: the gap between interest rates in two countries, which influences capital flows and exchange rates.

DIAGRAM

What a Fed rate hike aims to do



Higher US interest rates make borrowing dearer, so US **consumption and investment fall**. Aggregate demand shifts from **AD_1 to AD_2**.

The price level falls from **P_1 to P_2** (in practice, inflation slows), but real GDP also falls from **Y_1 to Y_2** – the cost of tightening.

Exam angle: Higher US rates widen the gap with Australian rates, drawing capital to the US. That tends to **depreciate the AUD**, which raises import prices and can add to Australian inflation.

FLOW CHART

How US policy reaches Australia

Fed raises interest rates → US yields rise; capital flows to the US → USD up, AUD down → **Dearer imports – inflation risk in Australia**

SYLLABUS LINK
Topic 1 – Economic growth and inflation in major economies; Topic 4 – global monetary policy settings and their effects on Australia.

TRY THIS
Explain how a rise in US interest rates could affect the Australian dollar and inflation in Australia.
(4 MARKS)

Sources — ABC News business live blog, 11 Nov 2026: abc.net.au/news/2026-11-11/asx-markets-business-live-news-nov-11/107370848 · Note: US figures as reported in the live blog

Figures as reported; diagrams are illustrative, not to scale.